



SUSTAINABILITY PROGRAM

Existing Buildings Objectives / New Development Objectives
/ Program, Vision, Strategy / Sustainability Strategy / KRC
Sustainability Policies

EXISTING BUILDINGS OBJECTIVES

For the second time, we have aligned our objectives with the UN Sustainable Development Goals (SDGs) and will continue to use the SDGs to help refine our objectives in the coming years.

UN SUSTAINABLE DEVELOPMENT GOAL	OBJECTIVES	PROGRESS	
	-72% Achieve a 72% in Scope 1 and Scope 2 GHG emissions from 2015 levels by 2050, a goal derived using Science-Based Targets Guidance. We have submitted this goal to the Science Based Targets Initiative and are awaiting approval.	-8.94% Our whole portfolio achieved a 5.52% reduction in Scope 1 and Scope 2 GHG emissions in 2017.	ON TRACK
	-10.3% Our onsite energy consumption is the primary driver of our Scope 1 and 2 GHG emissions, so our short term energy goal that will allow us to meet our long term GHG reduction target is a 10.3% reduction from 2015 energy consumption levels by 2020.	-4.48% We achieved a 4.48% reduction in energy consumption in 2017. This is included in our Scope 1 and Scope 2 emissions. Our whole portfolio achieved a 1.63% reduction in energy consumption in 2017.	ON TRACK
	-10% Reduce water use 10% from 2015 levels by 2020.	-0.2% On track. We achieved a 0.5% water reduction in 2017. Though we had hoped for a more significant reduction, with our performance in 2015 and 2016 we are still on track to meet our 2020 goal.	ON TRACK

UN SUSTAINABLE DEVELOPMENT GOAL	OBJECTIVES	PROGRESS	
	Implement Green Leasing.	Complete. All new leases in our stabilized portfolio and development projects meet The Institute for Market Transformation (IMT)'s highest standards for green leasing. We won two IMT Green Lease Leaders awards in 2016.	COMPLETE
	75% Achieve ENERGY STAR certification for 75% of eligible existing buildings.	73% Delayed. We have achieved ENERGY STAR certification for 73% of eligible buildings, and hope to reach 75% by year-end 2018.	DELAYED
	5 Perform energy audits or retrocommissioning every 5 years on all existing buildings.	1.8 million sf On track. We pursued audits/ retrocommissioning over 1.8 million square feet of space in 2017.	ON TRACK
	50% Achieve a recycling annual diversion rate of at least 50% in the existing portfolio by 2020.	44% While we increased our recycling diversion percentage in 2017, we need to augment our current programs in order to meet our 2020 goal. We are considering wider deployment of post sorting services among other ideas.	DELAYED

EXISTING BUILDINGS
OBJECTIVES (CONT.)

UN SUSTAINABLE DEVELOPMENT GOAL	OBJECTIVES	PROGRESS	
9 INDUSTRY, INNOVATION AND INFRASTRUCTURE 	100% Benchmark all energy, water and waste data on at least a monthly basis, including tenant data.	94% 100% in directly-managed assets and 86% of tenant managed assets, for a 94% coverage rate across our entire portfolio.	COMPLETE
9 INDUSTRY, INNOVATION AND INFRASTRUCTURE 	Engage tenants to reduce their environmental impact through regular communication and action-oriented programs.	On track. More information on page 56.	ON TRACK
3 GOOD HEALTH AND WELL-BEING 	Maintain a portfolio-wide green cleaning program that would earn maximum points under LEED for Existing Buildings.	Complete.	COMPLETE
12 RESPONSIBLE CONSUMPTION AND PRODUCTION 	Provide electric car charging stations per tenant needs.	On track. More information on page 37.	ON TRACK
3 GOOD HEALTH AND WELL-BEING 	33% of all existing assets earn Fitwel certification.	On track. 23% of our assets earned the certification in 2017.	ON TRACK

NEW DEVELOPMENT
OBJECTIVES

UN SUSTAINABLE DEVELOPMENT GOAL	OBJECTIVES	PROGRESS	
11 SUSTAINABLE CITIES AND COMMUNITIES 	All ground-up construction will pursue LEED Gold certification or better, and all major renovations will pursue LEED Silver certification or better	12790 El Camino Real achieved LEED Gold certification in 2017. More information on page 86.	ON TRACK
12 RESPONSIBLE CONSUMPTION AND PRODUCTION 	20% Total materials used in development projects will achieve at least 20% recycled content and 10% regional sourcing	On track. All 2017 development projects achieved this goal. We are raising the regional sourcing goal to 20% in 2018.	ON TRACK
12 RESPONSIBLE CONSUMPTION AND PRODUCTION 	75% Construction projects will achieve at least 75% diversion of construction waste from landfill	On track. All 2017 projects achieved this goal.	ON TRACK
15 LIFE ON LAND 	All new landscape projects will include at least two pollinator-friendly plants in the landscape design	On track. More information on page 90.	ON TRACK
3 GOOD HEALTH AND WELL-BEING 	Completed development projects earn a health certification within 12 months of full occupancy.	On track. Hollywood Proper Residences, 333 Brannan and 350 Mission all achieved health certifications in 2017.	ON TRACK

2. INCREASED ENVIRONMENTAL REGULATION

- We believe we are ahead of our peers in anticipating new energy regulations; for example, because we were prepared, complying with AB 1103 was less burdensome for us than certain competitors, as it will be for AB 802 when that goes into effect. We successfully and proactively influence new environmental regulation such as the new Los Angeles benchmarking ordinance and a similar proposed ordinance in Santa Monica. Increased regulation could, however, result in increased costs that motivate some tenants to leave California entirely.
- We do not currently anticipate that the office real estate industry will be regulated by carbon legislation in the short term, though the effects of this legislation on other industries may indirectly affect us through higher energy costs, higher raw materials costs, and increased tenant demand for sustainable properties. The increased focus on emissions is why we verify and disclose our Scope 1 and 2 emissions both in this report and to a variety of disclosure platforms such as GRESB, CDP and DJSI.
- There may be increased government incentives for energy and water conservation, and we are well positioned to continue to take advantage of these opportunities.

3. HIGHER COSTS AND MORE REGULATION IN OUR SUPPLY CHAIN

- Sourcing materials for our buildings could become increasingly expensive, and there could be disruptions to the supply chains of our building materials, potentially extending construction times or preventing us from delivering buildings on time. Demographic changes resulting from climate change could prevent us from being able to source the labor needed to develop and operate our properties.
- Climate change could impact or stress services on which we rely, such as the energy grid, making it more difficult to operate our properties.
- Also, there could be increased permitting restrictions around new construction, potentially around water use or renewables.
- We have experienced development and asset management teams who will be able to mitigate these increases as much as possible. In addition, by committing to sustainable building, we have experienced expedited approvals and community support. Our battery installations can be retrofitted to take buildings off the grid if its reliability becomes compromised.

4. COMMUNITY IMPACTS

- The communities in which we operate could become increasingly stressed as a result of climate change, disrupting transportation, basic services and the ability of our tenants and employees to maintain current strong levels of productivity. The Building Resilience LA primer (www.resilience.la) will help us preserve business continuity under more strained community conditions.

5. BUSINESS IMPACTS

- Because we are so proactive on managing climate change risks, we are able to leverage those efforts by obtaining competitive insurance premiums for our buildings.
- By addressing customer and community sustainability objectives, we can be more successful in our development efforts and win more business.
- Being proactive in our community on sustainability via articles, industry forums and interviews also protects our reputation in our industry.
- We consider the risk of non-delivery of design performance in occupied buildings from climate change to be minimal.
- Because we recognize that as a result of climate change our stakeholders are asking for increased transparency, we have expanded our voluntary disclosure efforts, such as by including more sustainability content in the 10-K aligned with SASB (more information on page 99) and disclosing to the DJSI.

2017 GHG PERFORMANCE

Office	Absolute Consumption				Like-for-Like Consumption		
	2016	2017			2016	2017	
	Emissions (Tonnes)	Emissions (Tonnes)	Data Coverage (sf)	Max Coverage (sf)	Emissions (Tonnes)	Emissions (Tonnes)	Like-for-Like Change (%)
Scope 1	3,696	4,165	10,461,039	10,461,039	2,747	2,821	2.68%
Scope 2	39,670	39,516	13,557,757	13,584,461	35,009	32,059	-8.43%
					37,756	34,880	-7.62%

Life Sciences	Absolute Consumption				Like-for-Like Consumption		
	2016	2017			2016	2017	
	Emissions (Tonnes)	Emissions (Tonnes)	Data Coverage (sf)	Max Coverage (sf)	Emissions (Tonnes)	Emissions (Tonnes)	Like-for-Like Change (%)
Scope 1	363	476	1,322,576	1,322,576	363	476	31.09%
Scope 2	4,475	4,489	1,801,815	1,895,542	4,475	4,489	0.32%
					4,838	4,965	2.63%

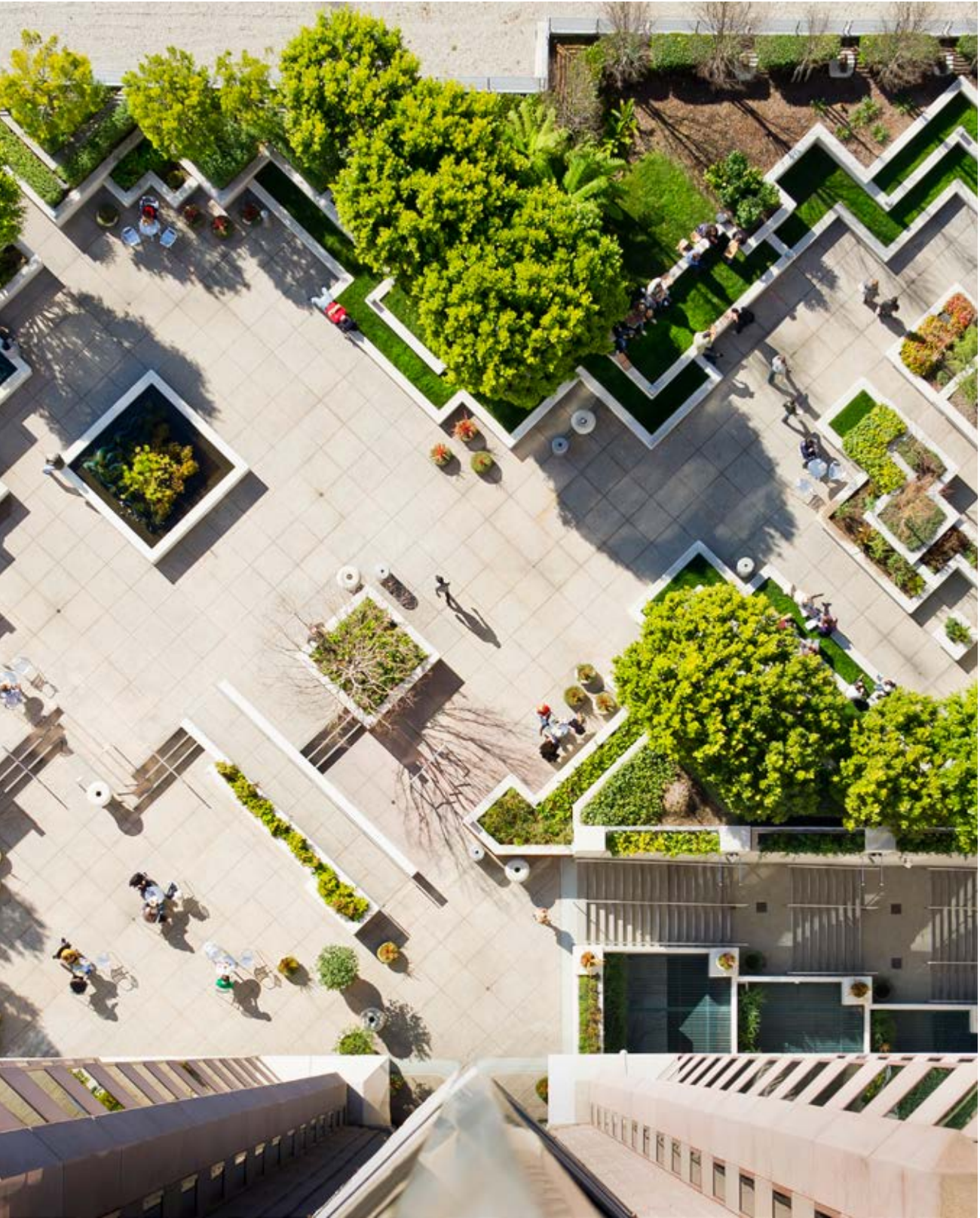
Whole Portfolio	Absolute Consumption				Like-for-Like Consumption		
	2016	2017			2016	2017	
	Emissions (Tonnes)	Emissions (Tonnes)	Data Coverage (sf)	Max Coverage (sf)	Emissions (Tonnes)	Emissions (Tonnes)	Like-for-Like Change (%)
Scope 1	4,059	4,641	11,783,615	11,783,615	3,110	3,296	6.00%
Scope 2	44,145	42,947	15,359,572	15,480,003	39,484	35,490	-10.12%
					42,594	38,786	-8.94%

¹² We utilize the EPA guidelines, via Energy Star Portfolio Manger’s Reporting tool, to generate Scope 1 and Scope 2 emissions data. Full details on how Portfolio Manager calculates greenhouse gas emissions can be found here: <https://www.energystar.gov/buildings/facility-owners-and-managers/existing-buildings/use-portfolio-manager/understand-metrics/how>.

¹³ Scope 1 emissions are related to the natural gas consumption of our directly managed properties. Scope 2 emissions are related to the electricity consumption of our directly managed properties. The energy consumption of our indirectly managed properties is part of our Scope 3 emissions, which are not included in this report.

¹⁴ One building in San Diego, which was neither sold, nor stabilized during the performance period, stood vacant in 2017. Accordingly, a sharp reduction in emissions was evident. This asset accounts for 0.98% of the absolute portfolio based on square footage.

¹⁵ 21 buildings began sourcing 100% of their energy from renewable sources in 2017 through the San Diego Gas & Electric EcoChoice program. An additional building began sourcing 100% of its power through the CleanPowerSF program. The reductions from these enrollments are reflected in the table above.



100 FIRST STREET, SAN FRANCISCO, CA



SUNSET MEDIA CENTER'S EMERGENCY PREPAREDNESS PROGRAM CONTRIBUTED TO ITS 2017 FITWEL CERTIFICATION

ENVIRONMENTAL GRIEVANCE MECHANISMS

The concept of formal environmental grievance mechanisms as contemplated by GRI is not applicable to us as a REIT. However, we have procedures in place for responding to environmental incidents, and our focus on developing urban core brownfield sites requires us to have expertise in coordinating environmental remediation. Examples of environmental issues that can arise at an existing property include water intrusion, mold, air quality or water quality issues, leaking underground storage tanks or pipes, and the presence of asbestos-containing materials or lead-based paint. Examples of environmental issues that may at our urban development sites include contaminated soil, soil vapor, and groundwater, hazardous materials, underground storage tanks, and encountering unknown structures and materials. There were approximately 82 reports completed in 2017 relating to the discovery, investigation and remediation or abatement of various environmental incidents throughout our portfolio. 5-10% of incidents that arose during 2017 are still in the process of discovery and/or remediation or abatement, but other than these few incidents, we are not aware of any other incidents that arose in 2017 that remain unresolved. None of these issues have been deemed significant, and we did not have any significant fines or non-monetary sanctions regarding environmental compliance in 2017. We had no significant spills in 2017. We had no grievances about environmental impacts filed, addressed and resolved through formal grievance mechanisms.

reviewed their work processes, and undertook sample-based audits of the processes for generating, gathering, and managing the quantitative and qualitative sustainability data;

- Provide feedback on a draft of the report based on our assurance scope.

In addition, the following methods were applied during the verification of KRC’s GHG Scope 1 and 2 emissions:

- Review of documentation, data records and sources relating to GHG emissions assertions and claims
- Review of the processes and tools used to collect, aggregate and report on all GHG data and information;
- Assessment of environmental information systems and controls, including:
 - Selection and management of all relevant GHG data and information;
 - Processes for collecting, processing, consolidating, and reporting the relevant environmental data and information;
 - Design and maintenance of the GHG information system;
 - Systems and processes that support the GHG information system.
- Performed sample-based audits of the processes for generating, gathering and managing GHG data;
- Examination of all relevant environmental data and information to develop evidence for the assessment of the GHG claims and assertions made;
- Confirmation of whether or not the organization conforms to the verification criteria.

Opinion

On the basis of the work conducted, nothing came to our attention to suggest that the Report does not properly describe KRC’s adherence to the Principles of Inclusivity, Materiality, and Responsiveness. In terms of the reliability of the performance data, nothing came to our attention to suggest that these data and claims have not been properly collated from information reported at operational level, nor that the assumptions used were inappropriate.

Observations

Without affecting our assurance opinion, we also provide the following observations.

Inclusivity: the participation of stakeholders in developing and achieving an accountable and strategic response to sustainability.

KRC is committed to continuous dialogue with its stakeholders, using both formal and informal avenues, to understand their expectations, concerns, and needs as well as to increase awareness of the company’s sustainability objectives. This is evident in efforts such as the Green Janitor Education Program, the 2017 employee satisfaction survey, and community engagement during the development process.

Furthermore, the company’s approach to its sustainability strategy and reporting is informed by inputs at different levels of the organization from varied sources such as government officials, tenants, employees and non-

governmental organizations. During the materiality refresh conducted in preparation for the development of the 2017 report, KRC engaged internal stakeholders and a limited number of external stakeholders. We recommend that Kilroy continue to validate its prioritization of its material issues with key stakeholders to ensure that the company is shaping its sustainability strategy to effectively address the issues most relevant to these stakeholders.

Materiality: identification of those issues which are necessary for stakeholders to make informed judgments concerning the organization and its impacts.

KRC conducted a materiality refresh in 2017-2018 to confirm the topics covered in the Report. As part of this process, KRC reviewed its mapping of stakeholders impacted by the company’s activities and the material issues that are most relevant to them. The Report presents an update of KRC’s activities and sustainability performance and addresses the most material environmental and social issues facing the company and its stakeholders.

In 2017, KRC conducted a preliminary analysis of its Tier 1 suppliers and engaged with them to better understand their ethics programs. The company also reviewed risks related to health and safety for contracted janitorial services. We recommend that the company build on these efforts and perform a formal sustainability risk assessment process which can inform the development of systems for monitoring and reviewing supplier performance in areas of high risk.

Responsiveness: the extent to which the organization responds to stakeholder issues

During our review, we found evidence that KRC engages and responds to stakeholders throughout the company’s operations and that sustainability is integrated into decision-making process. The Report presents a good overview of how the company has consulted with stakeholders and responded to emerging sustainability issues. After reporting its Scope 1 and 2 GHG emissions for the first time in its 2016 report, we commend the company for updating its science-based target for its GHG emissions based on best practices from the Science Based Targets Initiative.

Performance Information:

KRC’s reporting of performance including the disclosure of data is comprehensive and the indicators disclosed in a balanced manner. Goals and performance data are presented objectively, with clear and balanced representation of 2017 performance and challenges.

Our review of GHG emissions, energy, waste, and water data presented in the report resulted in minimal technical errors being identified based on our sampling. These errors have been corrected for the final report. The systems for production and collation of these data appear, from our review, to be reliable and capable of producing complete and consistent data. We note, as in the previous two years, the company’s continued efforts to limit manual data transfers between raw data and its consolidated reporting to minimize risks to data integrity.

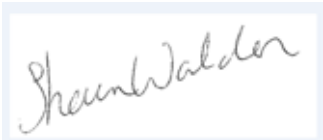
As noted in previous assurance statements, we recommend that Kilroy continue to follow an established quality review process for all data collected in Energy Star Portfolio Manager. Furthermore, we recommend that the company document within Energy Star Portfolio Manager any unique factors related to data assumptions, invoices, metering, etc. at the building level to ensure replicability of performance calculations. These two process checks can help ensure reliability of the data collection and consolidation processes as well as consistency in the assumptions used across the portfolio to calculate the environmental data.

KRC’s GHG assertions are that 47,588 metric tons of CO₂e were emitted in 2017; 4,641 metric tons of CO₂e for Scope 1, 42,947 metric tons of CO₂e for Scope 2. Based on the processes and procedures conducted with a moderate assurance, there is no evidence that these GHG assertions are not materially correct and are not a fair representation of GHG data and information, and have not been prepared in accordance with the WBSCD/WRI GHG Protocol referenced above.

DNV GL Business Assurance USA Inc.
Oakland, California
May 10, 2018



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